

APPROVAL MEMO — RENEGOTIATION OF CT-2023-014 (GULF COLD-CHAIN LOGISTICS)

From: Head of Group Procurement | To: CEO, CFO | Date: 3 June 2026 | Classification: Internal — Confidential
Ref: RD-06 | Linked: SIG-2026-11, EV-2026-15, H1 Audit Pattern 6

Background

CT-2023-014 auto-renewed 2-Oct-2025 (notice window missed). 2026 rate SAR 229,736/month (+22.2% vs 2025 base SAR 188,000) under the SS3.3 CPI+3% uncapped escalation. Annualised excess vs a capped structure: ~SAR 500K; division P&L impact vs budget H1-2026: +SAR 0.21M (EV-2026-15).

Proposal

Renegotiate with a credible insourcing BATNA: Dammam cold-chain hub (commissioned 28-Jun) plus the planned absorption of Tamween's 12 warehouses into Mizan Pharma Logistics give the group in-house 2-8C capacity. Target outcome: rate rebase to SAR 195K/month, CPI cap at 3%, 12-month termination-for-convenience clause. Estimated value: SAR 250K+/yr division; strategic option value on SYN-01 (group logistics insourcing, ~SAR 22M/yr).

Risks

Service continuity during any transition; GDP-WHO revalidation timeline if insourced; single-supplier retaliation on peak season

APPROVAL

Khalid Al-Rashed — Group CEO: APPROVED — proceed; report by 30-Sep Date: 3 June 2026 Signature: _____

Sara Al-Mahmoud — Group CFO: APPROVED Date: 3 June 2026 Signature: _____